represented an increase of more than 46 per cent in the monthly average value of contracts over the previous year. This threatened to jeopardize Tata Sons' standards of corporate governance and prompted Ratan to actively take up the matter with Mistry.

After giving him some months to settle in his new job, in the middle of 2013, Ratan once again raised the issue of conflict of interest with Mistry. He recollects having raised the matter when they met at Bombay House. As they were walking together engaged in light conversation, Ratan turned to Mistry and said: 'The issue of you disengaging with your family concern still remains to be adequately addressed.' Ratan remembers that Mistry stopped and said, 'Turn my back on my own company? I have decided that I am not going to disengage myself.' Ratan was startled by his reaction.

Mistry's reply kept ringing in his ears, says Ratan. It was the first time that the new chairman had defiantly declared his intention of not sticking to his commitment. Ratan had not seen this side of Mistry before. But he still did not want to precipitate issues.

Despite Mistry's statement, Ratan expected that he would, sooner rather than later, take some steps to address the conflict of interest issue. He assumed that his successor's reaction may have had more to do with the suddenness with which the delicate issue was raised than a genuine reluctance to address the problem. He raised the matter again in separate meetings with Mistry. But he found Mistry's response to be lukewarm.

Pushed to the wall, Ratan sent him a two-and-a-half-page hand written letter that he sealed himself to maintain confidentiality. In it he had recalled that he supported the appointment of Mistry on the condition that he would disassociate from his company in a 'legal manner to the satisfaction of the group' to avoid any conflict of interest. He also emphasized that every one would expect the 'chairman to lead by example'.

He added that 'Your position demolishes in spirit and reality the values and ethical standards set by Jamsetji Tata, assiduously followed by successive chairmen in order to safeguard and perpetuate the founder's ideals which have differentiated us from others.'

If Cyrus Mistry's appointment had been delayed until he had established a legal framework dissociating himself from his company, much of the problem would not have arisen in the first place. Ratan, however, said that he had been misled. He said, 'We made a mistake, may be [a] grave mistake … we were foolish, were driven on the one hand by my self-imposed